

#	Case Name	Tentative
55.	Watman v. Providence Mission Hospital 2025-01489022	Cross-defendants Estate of Lorraine Virginia McKay and Aron McKay, administrator of the Estate of Lorraine Virginia McKay's motion for determination of good faith settlement is DENIED without prejudice. C.C.P. 877.6; <i>Tech-Bilt, Inc. v. Woodward-Clyde & Associates</i> (1985) 38 Cal. 3d 488. In determining whether a settlement is in good faith, the court considers: ... a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants. [Citation.] Finally, practical considerations obviously require that the evaluation be made on the basis of information available at the time of settlement. "[A] defendant's settlement figure must not be grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant's liability to be." [Citation.] (<i>Tech-Bilt v. Woodward-Clyde, supra</i> at 499 [internal citations omitted].) "The party asserting the lack of good faith, who has the burden of proof on that issue [citation] should be permitted to demonstrate, if he can, that the settlement is so far 'out of the ballpark' in relation to these factors as to be inconsistent with the equitable objectives of the statute." (<i>Id.</i> at 499-500.) Based on the court's analysis, the settling cross-defendants have failed to demonstrate that the settlement is in good faith when considering (1) the financial condition of the estate; and (2) the lack of competent evidence addressing the proportionate liability among the parties. (This second issue appears to be a function of the early stage of the litigation.) If the proportional liability among the parties becomes clearer, and the financial conditions of the settlement or the estate change, the settling parties may again apply for determination of good faith settlement. Flashparking's objections to the declaration of Richard K. Kim are SUSTAINED as to 1 and 2 and OVERRULED as to the

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		remainder. The objections to the declaration of Aron McKay and remaining objections are OVERRULED. Moving cross-defendants shall give notice of this ruling.
56.	DistinctImage International, LLC v. Renew Spinal Care, Inc. 2018-00986980	Plaintiff DistinctImage International, LLC's motion for entry of judgment pursuant to Code of Civil Procedure section 664.6 is DENIED. Plaintiff seeks the entry of judgment pursuant to its settlement agreement with defendants Renew Spinal Care, Inc., Joe Samuel Bailey, and GS Hospitality L.L.C. executed by the parties on 6/2/24. (See Kent Decl. ¶¶ 1, 5-8, Ex. 1 [settlement agreement]; see also Mtn. P&As at pp. 9-10.) The settlement agreement, however, requires the entry of a stipulated judgment containing an unenforceable penalty. (See Kent Decl. at Ex. 1 [settlement agreement §§ 3.1, 7].) Specifically, the settlement agreement provides: "All Claims held by [plaintiff] as alleged in the Complaint herein shall be fully satisfied upon payment of the sum of [\$1,450,000] (the 'Lump Sum Payment') by 5:00 p.m. on December 1, 2024 (the 'Lump Sum Payment Deadline')." (Kent Decl. at Ex. 1 [settlement agreement § 3.1].) The settlement agreement then provides plaintiff with certain "rights" if defendants fail to timely make the Lump Sum Payment, including the right to an immediate \$200,000 penalty: "If the Lump Sum Payment is not made in full by the Lump Sum Deadline, then commencing December 1, 2024, Plaintiff has the unconditional right to submit an Ex Parte Application to the Court requesting Judgment against Defendants, and each of them in the amount of \$1,650,000.00." (Kent Decl. at Ex. 1 [settlement agreement § 7].) It further provides: "Defendants knowingly and intentionally waive and release any claim, contention, or right to argue or contend that the result amount of any judgment entered pursuant to this SETTLEMENT AGREEMENT is unenforceable as a penalty or improper liquidated damages [sic] under Civil Code, §1671. The unpaid principal balance shall bear interest at the rate of ten percent per annum simple interest. [Plaintiff] shall be entitled to recover all of his costs in enforcing this SETTLEMENT AGREEMENT including reasonable attorney's fees." (<i>Ibid.</i>) The additional \$200,000 in principal constitutes an unenforceable penalty under Civil Code section 1671, subdivision (b), as it bears no reasonable relationship to the